

Against Peripheral Ethics Committees: A Critique of the Strategic Decoupling of Ethics

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This paper critically examines the efficacy of the ethics committee model as the primary mechanism for institutional ethical governance. While ostensibly designed to ensure moral deliberation, we posit that the placement of ethics committees outside the highest strategic and financial decision-making bodies—the board of directors— or line management, renders them structurally incapable of addressing the most consequential moral challenges. The resulting phenomenon is a strategic de-coupling of ethics from power, leading to performative compliance rather than genuine moral integration. This is owed to the tension between the commitment to ethics and a broader and longer-standing industry commitments to meritocracy, technological solutionism, and market fundamentalism.

Keywords: Ethics Committees, AI Governance, Ethical washing, Institutional decoupling, Corporate Governance, Critical Discourse Analysis, Performative Compliance.

1 The Committee as a Mechanism for Performative Compliance

For several years, academic analysis has highlighted a fundamental tension within the technology sector: the friction between public commitments to ethics and a deeply rooted industry allegiance to meritocracy, technological solutionism, and market fundamentalism [10]. Ethics committees have emerged as the primary institutionalized governance mechanism for managing the risks of Artificial Intelligence and have been adopted with enthusiasm by numerous technology companies and organizations. But, where they exist, often function as a mechanism for ethical washing—a term used here not to denote malicious intent, but as structural consequence. Their scope is frequently limited to low-stakes compliance, procedural review, or matters where the institutional cost of ethical agreement is negligible. This behavior is strongly related to the concept of institutional decoupling—the gap between stated policy and actual practice [11]. By placing ethical deliberation in a separate, specialized silo, the organization achieves two immediate objectives:

1. Veneer of Virtue: It signals external stakeholders (regulators, consumers) that ethical due diligence is being performed.
2. Containment of Disruption: It ensures that ethical questions are managed by a peripheral body, protecting the core strategic decision-making processes from radical challenge or slowdown.

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This strategic containment does not merely insulate core business operations from ethical disruption; it also introduces severe human and psychological costs. Within the literature on organizational psychology and accountability, institutional decoupling is heavily linked to diminished employee mental health, acute cognitive dissonance, and profound moral distress [9].

The committee's perceived success, ironically, relies on its ability to avoid substantive interference with core business operations. Should a committee become genuinely disruptive to profit-generating activities, the internal incentives for its marginalization or dissolution become overwhelmingly strong. This structural defect extends heavily to specialized AI ethics boards and research teams.

The precarious nature of these peripheral structures is further exacerbated by their acute vulnerability to political shifts. Lacking an internal line mandate, the stability of these committees tracks shifting regulatory pressures rather than stable moral commitments; when external political climates pivot, the corporation can swiftly shed its ethical apparatus without market, regulatory or organizational penalty.

To clarify, this paper does not advocate for the dissolution of ethical expertise within organizations; rather, it argues that treating ethics as an isolated advisory function induces institutional decoupling. Much like financial, managerial or technical disciplines, ethical literacy must be embedded pervasively across all operational line management levels, rather than outsourced to a peripheral entity lacking strategic or operational authority.

2 The Boardroom as the Locus of Ethical Consequence

The true locus of ethically loaded decisions is the boardroom. All high-stakes decisions—from capital allocation, product development trajectory, major automation investments, and labour restructuring—are fundamentally ethical choices dressed in financial terminology. These decisions have massive, often irreversible, societal consequences (e.g., mass job displacement through AI, environmental impact, systemic bias embedded in technology).

The core of our argument is simple: The most consequential ethical decisions are finalized where the ultimate strategic authority resides—sealed in the boardroom's operational silence, deliberately situated beyond the functional reach and mandate of the ethics committee. The ethical calculus is performed where profitability and fiduciary duty are prioritized, and ethics is rarely presented as a primary constraint or objective, but rather as an adjacent compliance risk.

This structural decoupling of ethical and strategic decisions is particularly evident in high-stakes corporate operations, such as Mergers and Acquisitions (M&A). While an M&A strategy heavily dictates the long-term societal and ethical footprint of an enterprise, it is treated strictly as an optimization problem or a financial transaction. Because peripheral ethics boards are restricted to low-stakes product reviews, these massive strategic consolidations fall entirely outside their mandate, creating immense ethical blind spots at the highest levels of corporate power.

This strategic decoupling extends beyond private firms into public and academic research governance. Bound tightly to national industrial policies and commercial returns, public funding bodies routinely transform ethical oversight into a post-hoc bureaucratic checkpoint. This dynamic is described by Buljan et al. [2] in their analysis of the EU's Horizon 2020 framework, which revealed that complex ethical resolutions are systematically deferred until funding agreements are secured. By treating ethical clearance as a downstream logistical hurdle to release capital rather than an

upstream constraint on technology design, public governance replicates corporate performative compliance, granting a state-sanctioned ethical legitimacy to predefined industrial priorities.

3 Empirical Evidence: When Ethical Authority Conflicts with Economic Strategy

The structural critique that ethics committees are peripheral is consistently validated by real-world instances where major technology firms have neutralized or dismantled ethical oversight when it contravenes core product development or financial objectives. The initial tendency to establish ethics committees to oversee the functionality of technological products has been adopted by many firms through so-called 'institutional isomorphism' —a concept explaining how companies within the tech sector ultimately converge in their practices[4]. The abrupt termination of these committees has also cascaded, as companies have encountered no significant market backlash in response to their dissolution[8]. This leaves companies in an ethical vacuum; without a high-level corporate space for analyzing product impact, product managers become the ultimate ethical stewards, yet they remain without formal oversight.

This study analyzes the dynamics behind the dismantling or marginalization of ethical oversight teams in two specific cases where ethical considerations conflicted with competing corporate priorities. Utilizing Critical Discourse Analysis (CDA) as the primary methodology for multi-modal content, we examine interviews with employees and official statements from management to capture the underlying logics of the various actors involved in these episodes. CDA examines how corporate language obscures structural power imbalances and diffuses accountability, specifically in these episodes where Ethical teams, committees, boards or task forces are dismantled. Our dataset comprises public executive statements, leaked internal memos, and congressional hearing transcripts from 2018 to 2022. The analysis focuses on two cases that illustrate two primary discursive mechanisms of corporate power: strategic silencing (the deliberate omission of structural conflicts) in the case of Google Ethical AI team and ideological framing (the use of bureaucratic or moralizing language to deflect accountability) in the case of Meta Civic Integrity team.

3.1 Case Study 1: The Dismantling of Google's Ethical AI Team

In 2020 and 2021, Google effectively dismantled its Ethical AI team following internal conflict over core research. Lead researchers, including Dr. Timnit Gebru and Dr. Margaret Mitchell, were dismissed after they questioned the internal processes surrounding a research paper critical of the size, bias potential, and environmental impact of the Large Language Models (LLMs) foundational to Google's competitive strategy [1]. This was followed by a strategic internal restructuring of the remaining Responsible AI Safety and Integrity team, moving their functions away from independent research and closer to product risk management and compliance [13] [17]. This restructuring signaled that ethical scrutiny of profit-critical products was a tolerated cost only until it became a significant strategic impediment.

Following the dismissal of Dr. Gebru, Google's leadership deployed a strategy of technical recontextualization. Senior Vice President Jeff Dean asserted that the research 'didn't meet our bar for publication,' effectively reframing a profound ideological and ethical disagreement regarding LLM risks into a neutral, administrative quality-control issue [12]. Similarly, CEO Sundar Pichai's subsequent all-company memo [5] focused extensively on the internal 'pain' of the event while systematically silencing any engagement with the paper's actual findings on bias and environmental

costs. This discursive shift successfully decoupled the corporate conflict from its ethical substance, reducing it to an isolated human resources misunderstanding.

3.2 Case Study 2: Meta's Dissolution of the Civic Integrity Team

A similar prioritization of economic drivers over structural ethics was observed at Meta (formerly Facebook). The Civic Integrity Team, responsible for mitigating misinformation, political instability, and content-driven societal harm, was dissolved shortly after the 2020 US election. As testified by former employee and whistleblower Frances Haugen, this action allowed the company to revert to prioritizing the engagement-maximizing algorithms that generate profit, despite the company's internal research indicating that these same algorithms amplified divisive and hateful content[3]. The dissolution of this team provides a stark illustration of how ethical functions are considered expendable once the immediate public or regulatory pressure subsides and the function begins to interfere with core profitability metrics.

Meta's defensive discourse frequently relied on a highly institutionalized 'language of care' to project moral alignment. As an example, during congressional testimonies, executives regularly invoked personal identities -such as Meta VP Davis's motherhood [16] min 29:27 or Meta COO Sheryl Sandberg Jewish origins [14]- to humanize the corporation and obscure the structural diffusion of responsibility. Furthermore, by framing civil rights and safety progress through metaphors of a long journey as expressed by Sandberg[15], Meta's discourse naturalized perpetual delay. This rhetoric framed algorithmic safety not as an immediate operational constraint, but as a distant, aspirational summit, thereby justifying the prioritization of engagement-maximizing algorithms over civic safety.

The rhetoric deployed by Vice President Davis during her testimony in her US Senate hearing[16] -in min. 53:17-, which rests on the convenient premise that customer well-being is the sole driver of a profitable business model—exposes a foundational, hidden assumption embedded within corporate governance rhetoric: the naïve—and deceptive—claim that exponential corporate growth is inherently compatible with ethics and human rights. To argue that an organization can seamlessly capture 'the best of both worlds' without navigating fundamental compromises is structurally dishonest. Genuine ethical maturity requires an explicit acknowledgment of these acute dilemmas and zero-sum trade-offs—a reality that performative committees are specifically designed to obscure through separation.

4 Conclusion: Against Peripheral Ethics, For Integrated Line Governance

The current paradigm effectively ensures that ethics is discussed after (and if) strategic feasibility has been determined. We argue against the current model of peripheral ethics committees and for the immediate and systematic integration of ethical authority into the strategic core[6].

True ethical governance requires moving beyond reactive, committee-based review. This necessitates embedding ethical considerations as a standing, weighted criterion within all line governance bodies.

While peripheral advisory boards occasionally serve to mitigate 'affected ignorance' among executives, their structural isolation renders them vulnerable to political headwinds and strategic dissolution. True ethical accountability requires an organizational architecture that embeds moral deliberation directly into the line of command. For example: for research projects, ethical matters should be deliberated directly by the project governance board alongside technical

roadmaps and resource allocation, rather than being relegated to a distant, advisory ethics board. For industrial policies and public funding bodies, ethical issues must be adopted as a primary decision criterion, treated with the same rigor and weight as economic viability, technical feasibility, legal compliance, and strategic alignment.

By forcing moral considerations to be mandated at the precise point where capital is allocated, projects are approved, and consequential decisions are finalized, we can move from performative compliance to a genuinely integrated ethical structure.

Following the governance principles outlined in frameworks like ISO 42001:2023 [7] in Clause 5, top management must ensure the integration of AI safety and ethical requirements directly into core business processes. This eliminates the false dichotomy between 'ethical actors' and 'operational actors.' Rather than escalating conflicts to an external committee—an action that denotes a localized bottleneck and governance failure—ethical boundaries must be treated as non-negotiable operational constraints, akin to financial viability or legal compliance. Table 1 illustrates some of the differences between a committee model and the integrated model.

Table 1. Differences between committee and integrated models of AI ethics in the organization

	Peripheral AI Ethics Committee	Integrated AI Ethics Model
Locus	Isolated, Advisory Structurally decoupled	Embedded directly within governance bodies and line management
Authority	Advisory	Executive
Appointments	Unilateral corporate and self-selection	Multilevel subsidiarity
Scope	Narrow, reactive product/risk compliance	Systemic (strategic/operational)

Where intermediate oversight bodies are retained, they must be granted formal delegated powers analogous to Board Audit committees, where committee members are board directors themselves and powers include independent investigatory mandates and binding review authority. The maturity of institutional AI governance should force management to navigate its own commercial and ethical dilemmas. Ultimately, ethical deliberation cannot be outsourced to a separate entity. True governance demands that ethical criteria become embedded within the professional identity and operational capabilities of line and strategic management.

A potential counterargument to this integrated model is that it may increase operational opacity for external stakeholders. However, as demonstrated by the prominent failures of highly visible committees, institutional transparency is rarely a genuine corporate feature; rather, peripheral boards often serve as a performative screen to obscure business as usual. Ultimately, society must navigate the corporate 'black box' not by demanding voluntary, symbolic gestures, but by enforcing rigorous external accountability. Genuine oversight requires moving away from performative validation and toward mandatory regulatory reporting, verifiable outcomes, and continuous civic vigilance.

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